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Strategic Marketing and Competitive Advantage

BOARD OF DIRECTOR OF CRAFT SUPPLIES

CRAFT SUPPLIES

PRESENTED BY: MARKETING TROOPER

OBJECTIVE



Role of marketing within an organization



Relationship between marketing strategy and corporate strategy



How marketing strategy can create competitive advantage?



Different competitive positioning options



How marketing strategy is developed?



Evaluate marketing strategies suitable for CraftSupplies



Strategic marketing direction

THE ROLE OF MARKETING WITHIN AN ORGANIZATION





MARKETING ACTIVITIES AT CRAFT SUPPLIES

Customer and competitor research

Product range planning

Pricing decisions

Social media and content marketing

Email marketing and loyalty programmes

Workshops and community events

Customer service and relationship management

CORPORATE STRATEGY AND MARKETING STRATEGY



Corporate Strategy sets the overall direction of the organization

- Who does the organisation want to achieve
- Which market should it operate in
- How will it grow
- How will resources be allocated
- What level of profit or market share

Marketing Strategy explains how marketing will help achieve those corporate objectives

- Target markets
- Customer needs
- Brand positioning
- Product and service offering
- Pricing
- Distribution
- Promotional activities
- Customer relationships



ALIGNMENT BETWEEN THE TWO STRATEGIES

Corporate objective

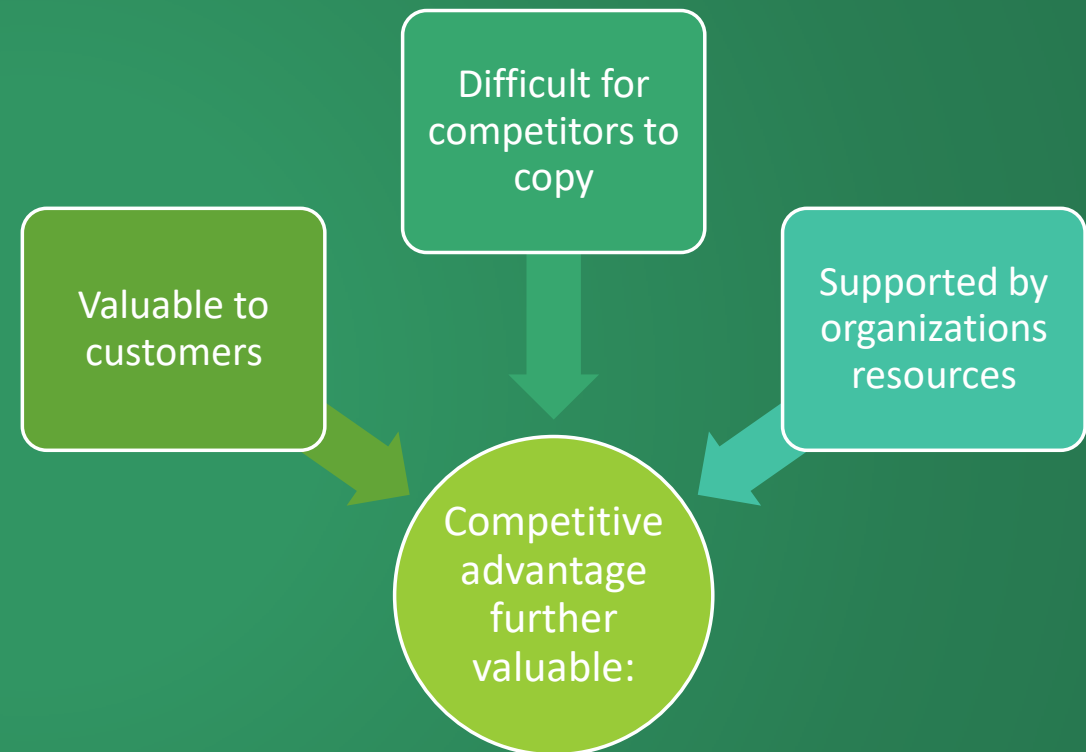
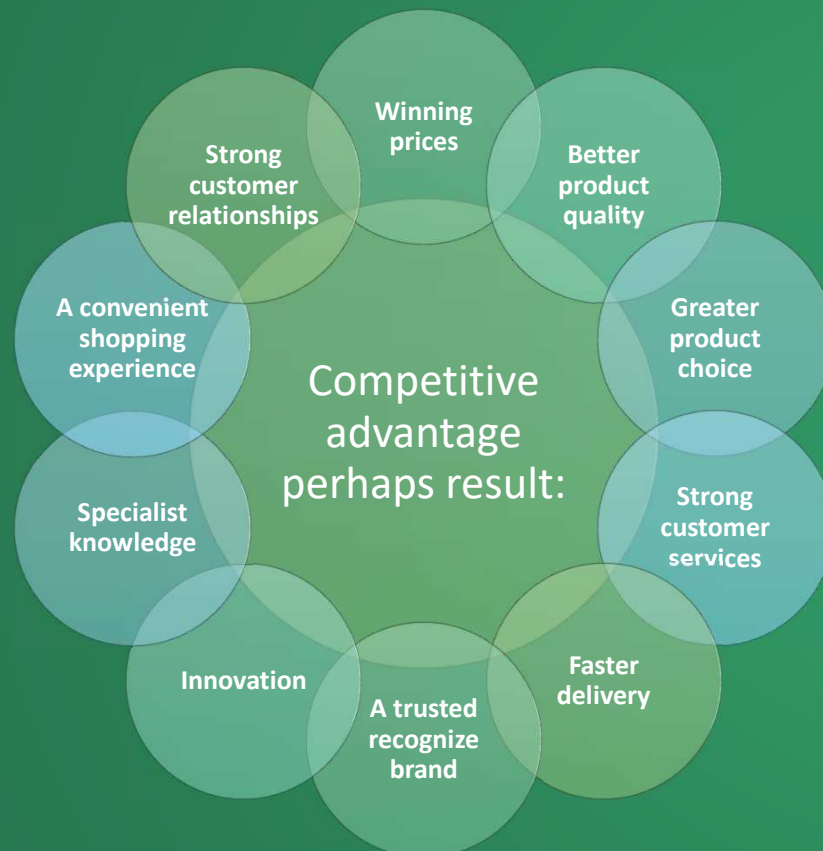
- Increase sales
- Enter new markets
- Improve profitability
- Build brand awareness
- Increase customer loyalty
- Become more sustainable





WHAT IS COMPETITIVE ADVANTAGE

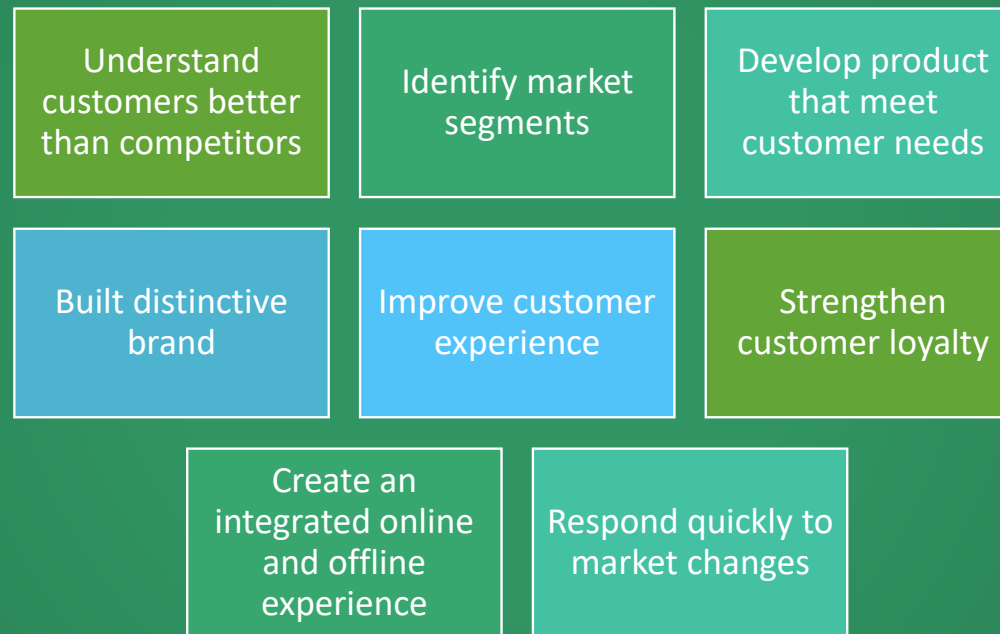
Competitive advantage is the ability to perform better than competitors because it offers customers greater value and operate more efficiently.





HOW MARKETING STRATEGY CRATES COMPETITIVE ADVANTAGE

CraftSupplies could create additional value by offering online tutorials, expert advice, workshops and personalised project recommendations:





COMPETITIVE POSITIONING OPTIONS

CraftSupplies could adopt several positioning approaches, The organization combines competitive prices with selected points of differentiation. For ex, CraftSupplies could provide affordable basic products while also offering premium specialist ranges.

- The organizations aims to offer products at winning prices than competitors
- Appeals to price sensitive customers
- Can increase sales volume
- May attract new customers

Cost
leadership



- The organization offers something perceived as distinct or superior
- Specialist products
- Expert advice
- Premium quality
- Sustainability
- Unique workshops
- Superior customer experience

Differentiation



- The organization targets specific market segments
- Professional artists
- Educational crafts
- Sustainable craft materials
- Handmade and traditional crafts
- Craft business and crators
- Schools and educational institutions

Focus market
segments



Hybrid
positioning.





RECOMMENDED POSITIONING FOR CRAFT SUPPLIES

A trusted customer focused destination providing quality and craft supplies, expert guidance, creative inspiration and convenient shopping for beginners , families, hobbyists and professional creators.

- Product variety
- Quality
- Advice and expertise
- Inspiration
- Convenience
- Community engagement

Positioning combines:





THE STRATEGIC MARKETING PLANNING PROCESS

A marketing strategy can be developed through the following stages.





CRAFT SUPPLIES SHOULD ASSESS BOTH INTERNAL AND EXTERNAL FACTORS

Internal analysis

- Current product range
- Pricing structure
- Brand value
- Store locations
- Website and online systems
- Financial resources
- Customer database
- Current sales performance

External analysis

- Competitors
- Customer trends
- Economic conditions
- Technology
- Social media behaviour
- Legal and regulatory factors
- Supplier conditions



SWOT ANALYSIS FOR CRAFTSUPPLIES

SWOT	CRAFTSUPPLIES ANALYSIS
Strengths	▪ Broad product range ▪ Existing customer knowledge ▪ Potential expert advice ▪ Potential strong community
Weaknesses	▪ May have higher cost than competitors ▪ Limited digital capability ▪ Dependence on suppliers ▪ Inconsistent brand communication
Opportunities	▪ E-commerce growth ▪ Online tutorials and workshops ▪ Sustainable products ▪ Partnership with creators and artists
Threats	▪ Large online retailers ▪ Discounting and price competition ▪ Change in consumer behaviour ▪ New digital first competitors



SEGMENTATION, TARGETING AND POSITIONING

Segmentation	Target	Positioning
▪ Age ▪ Income ▪ Lifestyle ▪ Skill level ▪ Usage occasion ▪ Professional or personal ▪ Preferred shopping channel	▪ Beginners and hobbyists ▪ Professional artists ▪ Parents and children ▪ School and colleges ▪ Craft entrepreneurs ▪ Environmentally conscious consumers	▪ The brand should be positioned as knowledgeable, inspiring, accessible and convenient



SETTING MARKETING OBJECTIVE

Marketing objective should be SMART:



Ex. for Craftsupplies

- Increase sales by 30% within 12 months
- Increase repeat purchase rates by 15% within one year.
- Built the customer email database by 25% in 12 months.
- Achieve 10% increase in sale of sustainable products within six months.
- Increase customer satisfaction scores by 10% within 12 months.



MIX MARKETING STRATEGIES

Product	Price	Place	Promotion
• Expand sustainable and specialist ranges • Develop project kit and product bundles • Introduce exclusive or own brands products • Provide beginner friendly products collection • Offer workshops and tutorials added services	• Use competitive pricing on basic products • Offer winning premium pricing on specialist products • Provide student, school or loyalty discounts • Use cart to increase average transaction value	• Improve e-commerce functionality • Provide fast home delivery • Offer click-and-collect • Use stores as experience and workshop locations • Sell through selected marketplaces where appropriate	• Social media tutorials • Influencer and artist partnerships • Seasonal campaigns • Loyalty rewards • Search engine marketing



MARKETING STRATEGIES

Customer relationship marketing: Can improve retention and customer lifetime value, However the organization must manage customer data responsibly and ensure that communications remain relevant.

CraftSupplies can develop long-term relationship:

- Loyalty programmes
- Personalised recommendations
- Birthday or anniversary offers
- Exclusive membership
- Purchase based rewards

Content marketing: Can built trust and attract customer traffic. It may also position the company an expert rather than simply retailer. The main challenge is to create regular, high quality content.

CraftSupplies would provide:

- Step-by-step tutorials
- Artist interviews
- Project ideas
- Product specifications
- Craft guide material
- Shorts video



MARKETING STRATEGIES

Experimental marketing: This creates emotional connections and encourages customer to visit stores.

CraftSupplies would offer:

- In store workshops
- Local artist events
- Craft clubs
- Competitions and exhibitions

Sustainable marketing: Can attract ethically conscious customers and strengthen brand value. Claims must be genuine, transparent and supported by evidence.

CraftSupplies would:

- Stock environment friendly materials
- Use disposable packaging
- Promote recycle products
- Work with responsible supplier



IMPLEMENTATION PLAN

First three months:

- Review customer and competitor research
 - Review the current brand position
 - Create customer segments
 - Design loyalty programme
- Develop social media scheduled contents

Month four to six:

- Launch content marketing campaigns
 - Introduce project cart
 - Start workshops
- Develop sustainable product collection
- Test personalised email promotion

Month seven to twelve:

- Evaluate campaign performance
- Expand successful product ranges
- Develop creator and artist partnerships
- Review customer satisfaction and repeat purchase data



KEY PERFORMANCE FEATURES

CraftSupplies should measure:

Financial performance:

- Revenue growth
- Gross profit margin
- Average order value
- Sales by product category
- Return on marketing investment

Customer performance:

- Customer retention rate
- Repeat purchase frequency
- Customer lifetime value
- Customer satisfaction
- Net promoter score

Digital performance:

- Website traffic
- Conversion rate
- Social media engagement
- Online customer reviews

Brand performance:

- Brand awareness
- Market share
- Customer perceptions
- Engagement with workshops and community activities



CONCLUSION:

“Marketing is essential for creating customer value and improving business performance. CraftSupplies should align its marketing strategy with corporate objectives and build differentiation through quality, innovation, convenience and strong customer relationships. By applying STP and marketing mix, digital, community, loyalty, content and sustainability initiatives the organization can achieve a sustainable competitive advantage. Success should be measured through financial, customer, digital and brand KPIs.

